(c) Human beings are motivated to explore new frontiers principally by economic considerations.

(d) Wealth generation is based on the risk-taking behaviour of some men.

Ans. (c) : According to the passage the correct answer is statement (c), Human beings are motivated to explore new frontiers principally by economic considerations. because the passage talks about the economic consideration as principal for exploration like exploration for gold, spice, and Chinese market.

Rest of all statements are incorrect.

Passage – 2

"..... most people would agree that telling deliberate lies is wrong, except perhaps in certain special situations where more harm will be done by telling the truth. Even the most truthful people probably tell a good many more lies that might be regarded as semantic lies; their use of words contains some measure of falsehood, more of less deliberate."

7. The idea which the first part of the passage mentions is

(a) agreement about telling lies.

(b) disagreement about telling lies.

(c) disagreement about telling the truth.

(d) disagreement about the harm in telling the truth.

Ans. (a) : In the given passage, the question is asking for ideas from the first part of the passage. But the first part is missing, and the given passage in the continuation of the first part. Hence we need to imply the idea from the passage the idea of agreement in telling lies while in the second part they disagree in truth in every situation. Hence this option is correct. Rest of all are incorrect.

Directions for the following 2 (two) items :

Read the following two passage and answer the items that follow. Your answers to these items should be based on the passages only.

Passage – 1

Can a democracy avoid being a welfare state for long? Why cannot mass welfare be left entirely to the markets? There is a built-in tension between markets and democracy. Markets do not work on a one-person-one-vote principle as democracies do. What one gets out of the market place depends on one's endowments, skills, purchasing power and the forces of demand and supply. Markets reward individual initiative and skill, and may also lift many from the bottom rungs of society, but some people never get the opportunity to develop slills that markets demand; they are simply too poor and too handicapped; or skill formation takes too long. By creating jobs, markets may be able to help even unskilled people, but capitalism has always witnessed bursts of unemployment.

8. With reference to the above passage, the following assumptions have made :

1. Modern democracies rely on the market forces to enable them to be welfare states.
2. Markets ensure sufficient economic growth necessary for democracies to be effective.
3. Government programmes are needed for those left behind in economic growth.

Which of the above asumptions is/are valid?

(a) 1 and 3 only (b) 3 only

(c) 2 and 3 only (d) 1, 2 and 3

Ans. (b) : Statement 3 is correct, Since markets cannot ensure social equity, as can be understood from the various lines of the given passage. Government programmers are needed to benefited from the effecient distribution of resources left behind in economic growth.

Passage – 2

In our schools we teach our children all that is there to know about physics, maths and history and what-have-you. But do we teach them about the bitter caste divide that plagues the country about the spectre of famine that stalks large parts of our land, about gender sensitivity, about the possibility of atheism as a choice, etc.? Equally important, do we teach them to ask questions, or do we teach them only to passively receive our wisdom? From the cocooned world of school, suddenly, the adolescent finds himself/herself in the unfettered world of university. Here he/she is swept up in a turmoil of ideas, influences and ideologies. For someone who has been discouraged from asking questions and forming an opinion, this transition can be painful.

9. Which one of the following statements best reflects the central idea of the passage given above?

(a) School curriculum is not compatible with the expectations of children and parents.

(b) Emphasis on academic achievements personality and skills.

(c) Preparing the children to be better citizens should be the responsibility of the education system.

(d) To be a better citizen, the present world order demands societal and life-coping skills in addition to academic content.

Ans. (d) : Clearly demands from a citizen to be equipped with societal and life-coping skill as wall. Apart from academic content a better citizen needs various qualities and awareness about his ecosystem living with and dare to be free with mind and soul with certain questions need to be asked.

Passage – 2

In the immediate future, we will see the increasing commodification of many new technologies – artificial intelligence and robotics, 3D manufacturing, custom made biological and pharmaceutical products, lethat autonomous weapons and driverless cars. This will pose conundrums. The moral question of how a driverless car will decide between hitting a jaywalker and swerving and damaging the car has often been debated. The answer is both simple – save the human life – and complex. At which angle should the car swerve – just enough to save the jaywalker or more than enough? If the driverless car is in Dublin, who would take the decision? The lrish Government, or the car's original code writer in California, or a software programmer in Hyderabad to whom maintenance is outsourced? If different national jurisdictions have different fine print on prioritising a human life, how will it affect insurance and investment decisions, including transnational ones?

10. Which of the following statement best reflect the rational, plausible and practical implications that can be derived from the passage given above?

1. Too much globalization is not in the best interests of any country.
2. Modern technologies are increasingly blurring the economic borders.
3. Innovation and capital have impinged on the domain of the State.
4. Public policy of every country should focus on developing its won supply chains.
5. Geopolitics will have to reconcile to many ambiguities and uncertainties.

Select the correct answer using the code given below :

(a) 1, 4 and 5 only (b) 1, 2, 3 and 4 only

(c) 2, 3 and 5 only (d) 1, 2, 3, 4 and 5

Ans. (c) : In the given passage the lines, "If the driver less car is in Dublin, who would take the decision? The Irish Government, or the car's original code writer in California, or a software programe in Hyderabad to whom maintenance is out sourced?" is valid for statement (2) and (3).

Statement (5) can be implied from the given passage, as there is a need to frame certain laws to clear the ambiguities and uncertainties. Statement (1) is extreme in nature and statement (4) cannot be implied nothing has been mentioned strengthening the supply chain of a country.

Hence, option (c) is correct.

Passage – 3

The resolution of bankruptcy cases of Indian banks under the Insolvency and Bankruptcy Code should help bring non-performing assets (NPA) situation under some contro,. Despite the slow pace of resolutions by the National Company Law Tribunal, the Code can be helpful in cleaning up bank books in future credit cycles. The recapitalisation of public sector banks too can help increase the capital cushion of banks and induce them to lend more and boost economic activity. But bas debt resolution and recapitalisation are only a part of the solution as they, be themselves, can do very little to rein in reckless lending that hat pushed the India banking system to its current sorry state. Unless there are systemic reforms that address the problem of unsustainable lending, future credit cycles will continue to stress the banking system.

11. Which one of the following statements best reflects the most logical, rational and practical suggestion implied by the passage given above?

(a) Lending by the banks should be closely monitored and regulated by the Centeal Government.

(b) Interest rates should be kept low so as to induce banks to lend more, promote credit growth and thereby boost economic activity.

(c) Merger of many banks into a few large banks alone is the long-term solution to make them viable and prevent their bad performance.

(d) Indian banking system requires structural reforms as a long-term solution for bad loans problem.

Ans. (d) : In the given passage, the author clearly states the need for the in the lines, "Unless there are systemic reforms that address the problem of unsustainable lending, future credit cycles will continue to stress the banking system". So option (d) is correct.

Option (b) and (c) are not correct, as they are not mentioned anywhere in the passage. Option (a) cannot be implied as it talks of monitoring by central government, where as that is not mentioned anywhere.

Passage – 4

In India, the objective of macroeconomic policy in to enhance the economic welfare of the people, and any one wing of such macro policy, monetary or fiscal, cannot indecently work without active support of another.

12. Which one on of the following statements best reflects the corollary to the passage given above?

(a) The central bank cannot work independently of the Government.

(b) Government should regulate financial markets and institutions closely.

(c) Market economy is not compatible with the socialist policies of the Government.

(d) Financial sector reforms are required for enhancing the economic welfare of the people.

Ans. (a) : In the passage states that "anyone wing of such macro policy, monetary or fiscal, cannot independently work without active support of another". It is the best corollary that can be drawn from the passage.

Rest of all options are incorrect because. Regulating bodies, social policies by the government and reforms of the financial institutions are not discussed in the passage.